Agent 365

Placemat and Licensing Guide

For External Use



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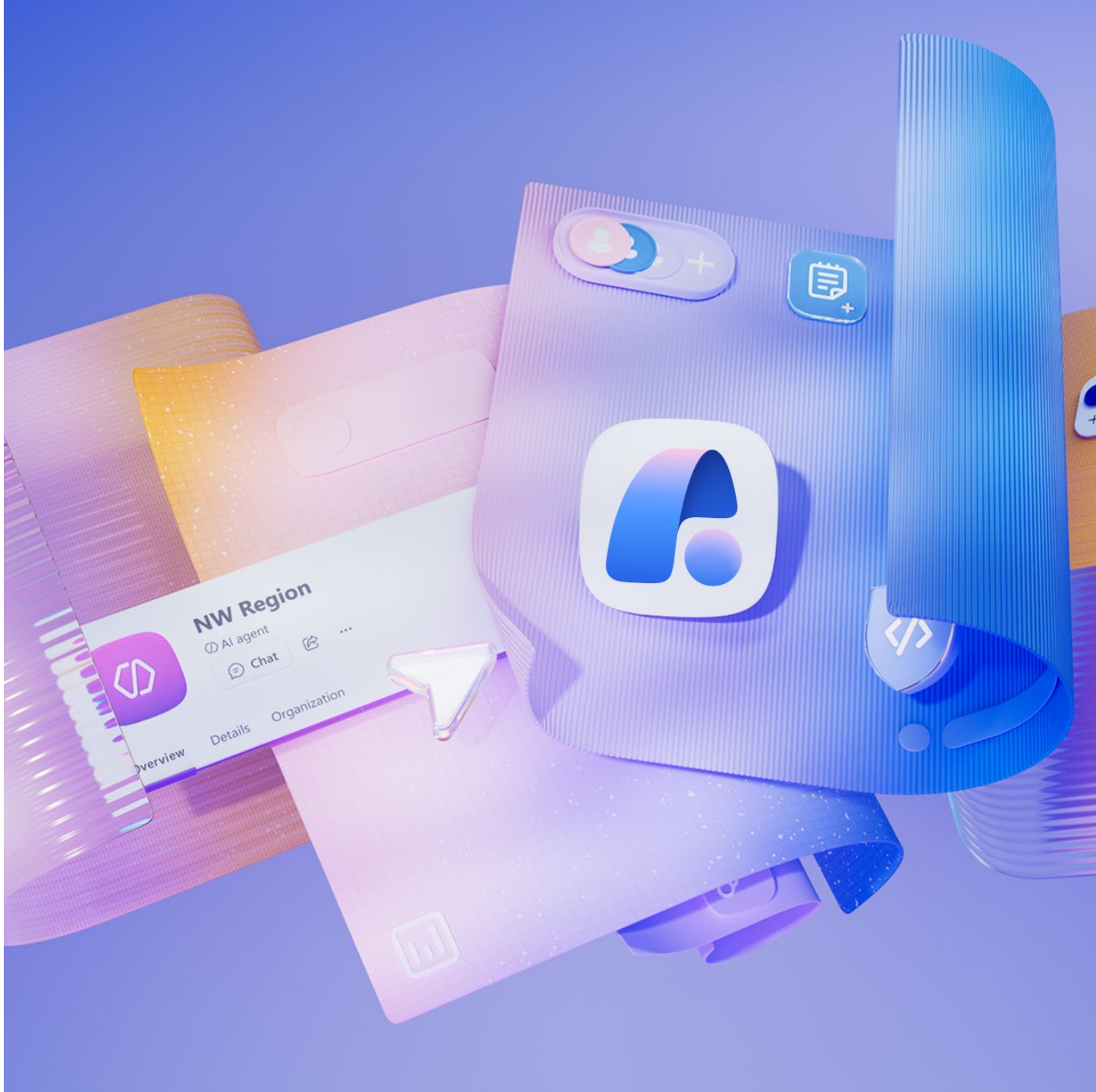
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- Agent 365 in the context of different service plans
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Core licensing concepts for A365



Agent 365 currently supports users of OBO agents

Agent 365 currently supports users of OBO agents

- Agent works on behalf of (OBO) a user. This means that access is delegated from the user to the agent.
- Users must be licensed for Agent 365, which covers all OBO agents used by the user
- License is assigned to a user, not an agent
- $15 PUPM or via ME7 license (1:1 ratio)

Transactable on May 1st.

↑

Our focus today is here.

Question: How are non-OBO agents licensed?

Answer: Agent capabilities for autonomous / not OBO agents remain in Preview. Customers will not be charged incrementally until these capabilities reach GA with a published licensing model.

Agent 365 is licensed per-user for OBO agents

Per-User Licensing

- **Alignment with OBO scenarios:** Agents work on behalf of a user, using that user's context, permissions, and workflows.
- **Cost control:** Create and use multiple agents for the same user without paying more for each agent.
- **Predictability:** A per-user model keeps costs stable as organizations experiment and refine how agents are used.

Question: If Agent 365 governs agents rather than people, why is it licensed per user for OBO agents?

Answer: Agent 365 is licensed per user for OBO agents because the license applies to agents acting on behalf of that user. It's a familiar and predictable model that helps customers plan and budget their adoption. A similar model exists today for Intune application management – for each licensed user, Intune manages all enterprise applications for such user.

An Agent 365 license is recommended for all users of OBO agents

Should have an A365 license

- We recommend broad coverage, including:
  - Users whose agents work on their behalf (OBO)
  - Microsoft 365 Copilot users
  - Teams moving beyond pilots into broader agent adoption

Question: Who needs an Agent 365 license?

Answer: An Agent 365 license is **recommended** for any users of agents. A better state is comprehensive M365 E7 coverage. A license is **required** only for the users who use OBO agents employing Agent 365 premium capabilities.

A365 licensing for OBO agents is contractually enforced – same as today for ME5

Contractual enforcement

1

If an OBO agent works on behalf of an unlicensed user, the activity is not entitled to A365 protections. This creates an out of compliance scenario.

2

Under Microsoft Universal License Terms, users cannot compliantly access functionality they are not licensed for

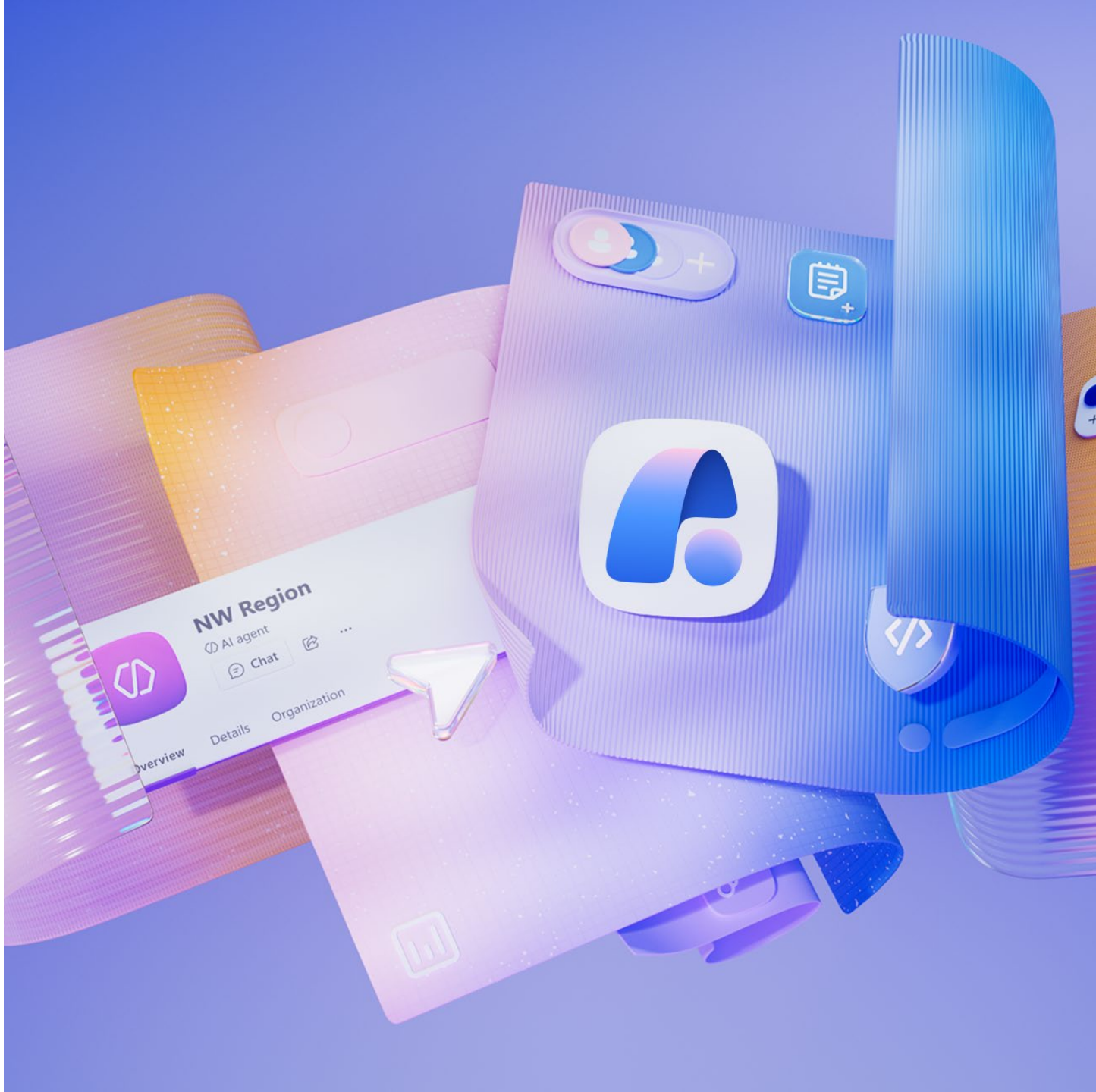
3

Multiplexing (pooling services to reduce the number of required licenses) is not permitted

Question: What is the difference between licensed and unlicensed users in the context of Agent 365?

Answer: When an OBO agent acts on behalf of a **licensed** user, the resulting activity is fully observed, governed, and secured by Agent 365. If it acts on behalf of an **unlicensed** user, the activity is not entitled to A365 protections.

Agent 365 in the context of different service plans



Agent 365 extends ME5 security and governance capabilities to OBO agents at scale



		ME5 + Entra Suite	Agent 365	ME7
Agents	Ecosystem partner agents via Agent 365 SDK		Observability, Governance Security • Identity & access mgmt. • Data security & compliance (for all interactions) • Threat protection	Secure it all
	Foundry agents			
	Copilot Studio agents			
	Microsoft 365 agents*	Seeded value: data security & compliance for A2H** interactions		
Microsoft 365 Copilot		Secure M365 Copilot		
Users		Comprehensive security • Identity + access control • Data Security • Threat Protection		

*Agents built with Agent Builder, SharePoint Agent, and Copilot Studio agents published in M365
**Agent-to-human and human-to-agent interactions

Question: I am already an ME5 customer, what additional value do I get from Agent 365 and/or ME7?

Answer: ME5 secures people and data. Agent 365 extends that foundation to govern, observe and manage custom-built and third-party agents at scale. With Microsoft 365 E7, customers can comprehensively protect people, agents, and data.

A365 unlocks the full value to secure & govern OBO agents at scale; ME5 only provides partial value

	OBO Agent type	Purview – data security & compliance		Defender – threat protection	Entra – identity and access management*	MAC – observability and governance
		Agent-to-human	Agent-to-tools, agent-to-agent			
Microsoft 365 agents	Agent Builder agents	ME5 or A365	A365	A365	A365*	A365
	SharePoint agents	ME5 or A365	A365	A365	A365*	A365
	Copilot Studio agents published in M365	ME5 or A365	A365	A365	A365*	A365
Copilot Studio / Foundry	Copilot Studio agents not published in M365	A365	A365	A365	A365*	A365
	Foundry agents	A365	A365	A365	A365*	A365
Ecosystem partners	Partner ecosystem agents via Agent 365 SDK	A365	A365	A365	A365*	A365

*Dependent on user having Entra P1 or Microsoft 365 E3 to support conditional access for agents that work on behalf of users
*Dependent on user having Entra P2, Microsoft 365 E5, or Entra Suite to support Identity Protection for agents that work on behalf of users

Question: I am already an ME5 customer, what additional value do I get from Agent 365 and/or ME7?

Answer: A365 provides end-to-end observability, governance and security for all OBO agents at scale. ME5 includes partial data security & compliance capabilities for agents that preceded Agent 365/ME7. We recommend all new customers adopt Agent 365/ME7 for comprehensive agent management.

Note: Applies to premium capabilities of Agent 365

Agent 365 can be applied to any Microsoft Cloud subscription, but functionality varies

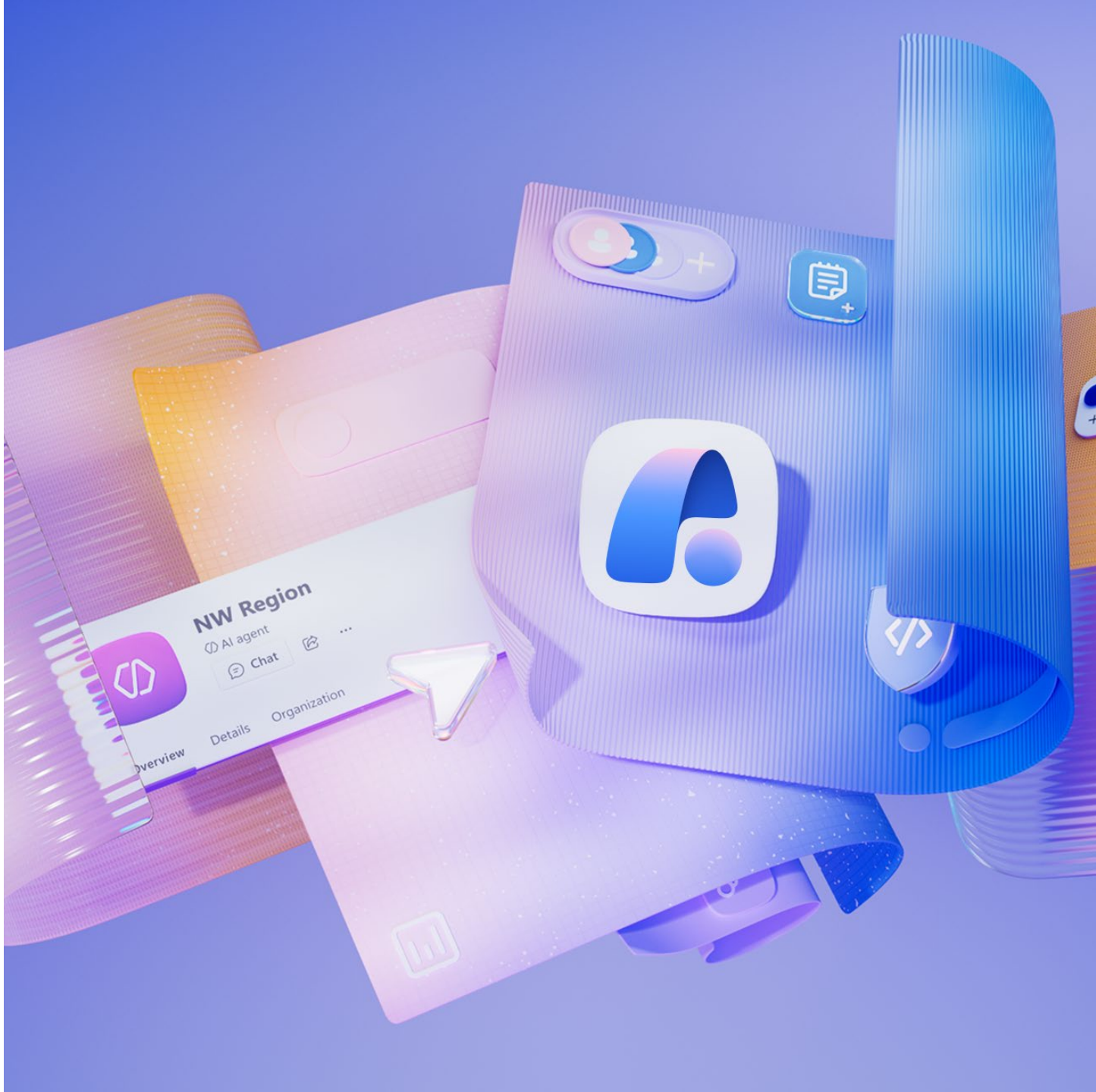
	A365-OBO + OE3	ME3	ME5	ME7
Implications for A365	**A365 functionality limited** -**Entra:** No Conditional Access, Identity Protection -**Defender:** No Threat Hunting -**Purview:** No grounding data protection (*no labelling*) -**Observability** : Fully functional	**A365 partially functional** -**Entra:** No Identity Protection -**Defender:** No Threat Hunting -**Purview:** Grounding data protected by manual labeling -**Observability:** Fully functional	**A365 fully functional** -**Entra:** Fully functional -**Defender:** Fully functional -**Purview:** Fully functional -**Observability:** Fully functional	**A365 fully functional** -**Entra:** Fully functional -**Defender:** Fully functional -**Purview:** Fully functional -**Observability:** Fully functional

Product family	Structural dependency between user <> agent value	Implications for A365
Entra	▪ Conditional Access (CA) and Identity Protection (IDP) for OBO agents are evaluated against a user's identity context	▪ Dependent on user having Entra P1 or Microsoft 365 E3 to support Conditional Access for user's agents ▪ Dependent on user having Entra P2, Microsoft 365 E5, or Entra Suite to support Identity Protection for user's agents
Defender	▪ Threat Hunting & Investigation for agents require logs, which are currently captured via Office connectors in MDA	▪ Posture and Threat Detection is fully functional in A365, but Threat Hunting & Investigation, will require a user to have a SKU with MDA
Purview	▪ Grounding data protection (i.e., label honoring, label inheritance, label-based DLP) require grounding data to be labelled	▪ Label honoring, label inheritance, and label-based DLP require license to ensure grounding data is labelled: OE3+ for M365 or PAYG 'Data at Rest' for supported non-M365 data
Observability	▪ None	▪ None

Question: What if I am not currently a ME5 customer? Can I still use Agent 365?

Answer: Yes, you can still use Agent 365. However, some functionalities, such as label-based data security and identity protection, can be limited based on the underlying users' licenses.

A365 availability by agent type



Agent 365 covers both 1P and 3P agents

Full coverage*

- **Microsoft-Built (1P) agents**
  - Microsoft 365 Copilot
  - Security Copilot
  - Agent builder
  - SharePoint
  - Copilot Studio
  - Foundry
- **Ecosystem Partner (3P) agents**
  - Integrated with Agent 365 SDKs

Partial coverage

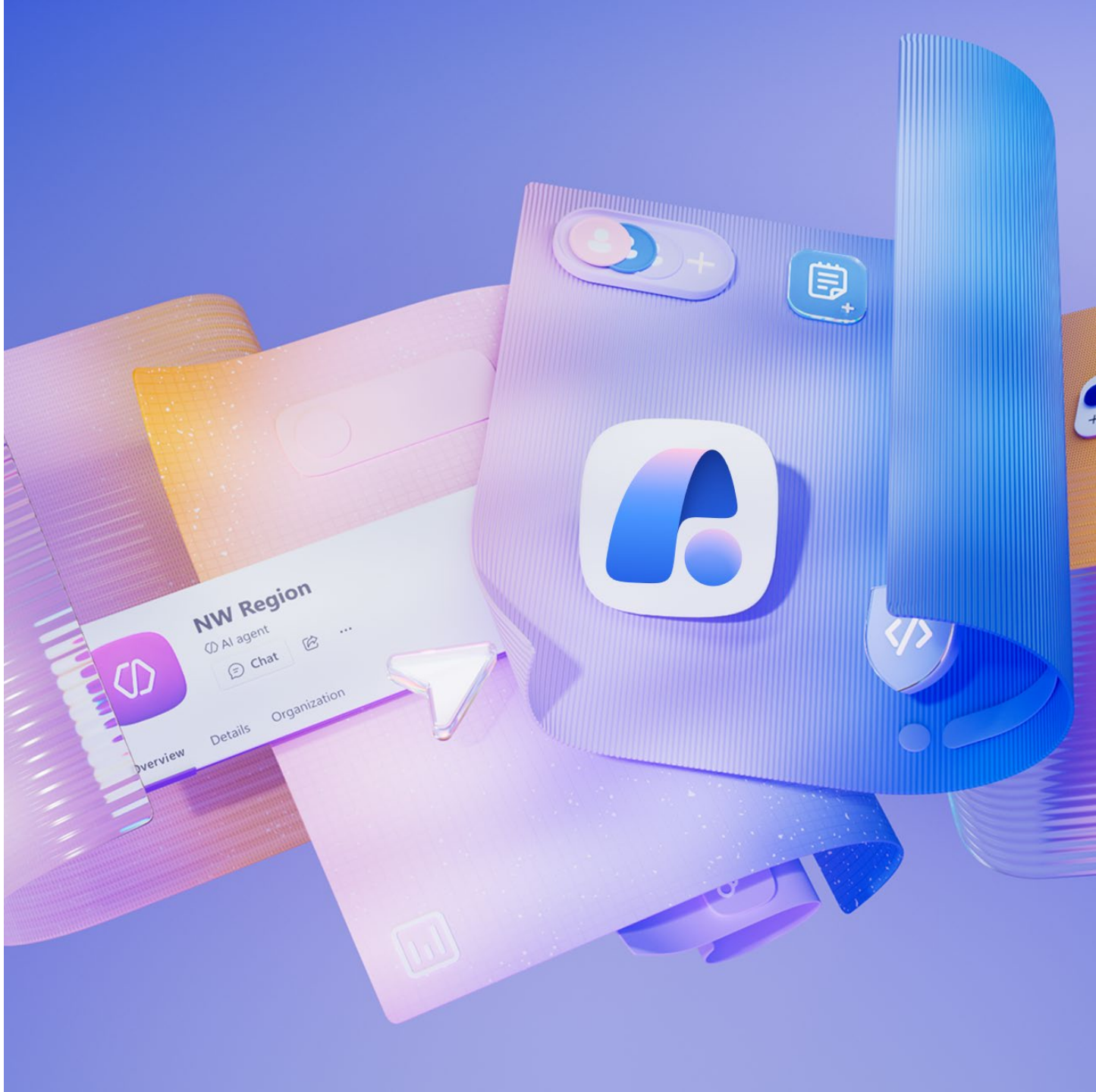
- Partial coverage for agents discovered in connected platforms (e.g. VertexAI, Bedrock, Agentforce, etc.)
- Coverage will be dependent on platform and may include visibility into agent metadata or basic actions such as blocking or deleting.
- More details to come as we get closer to GA of this capability (expected in July).

Question: What agents are currently covered by Agent 365?

Answer: Agent 365 covers both Microsoft-built and partner ecosystem agents integrated with the Agent 365 SDK.

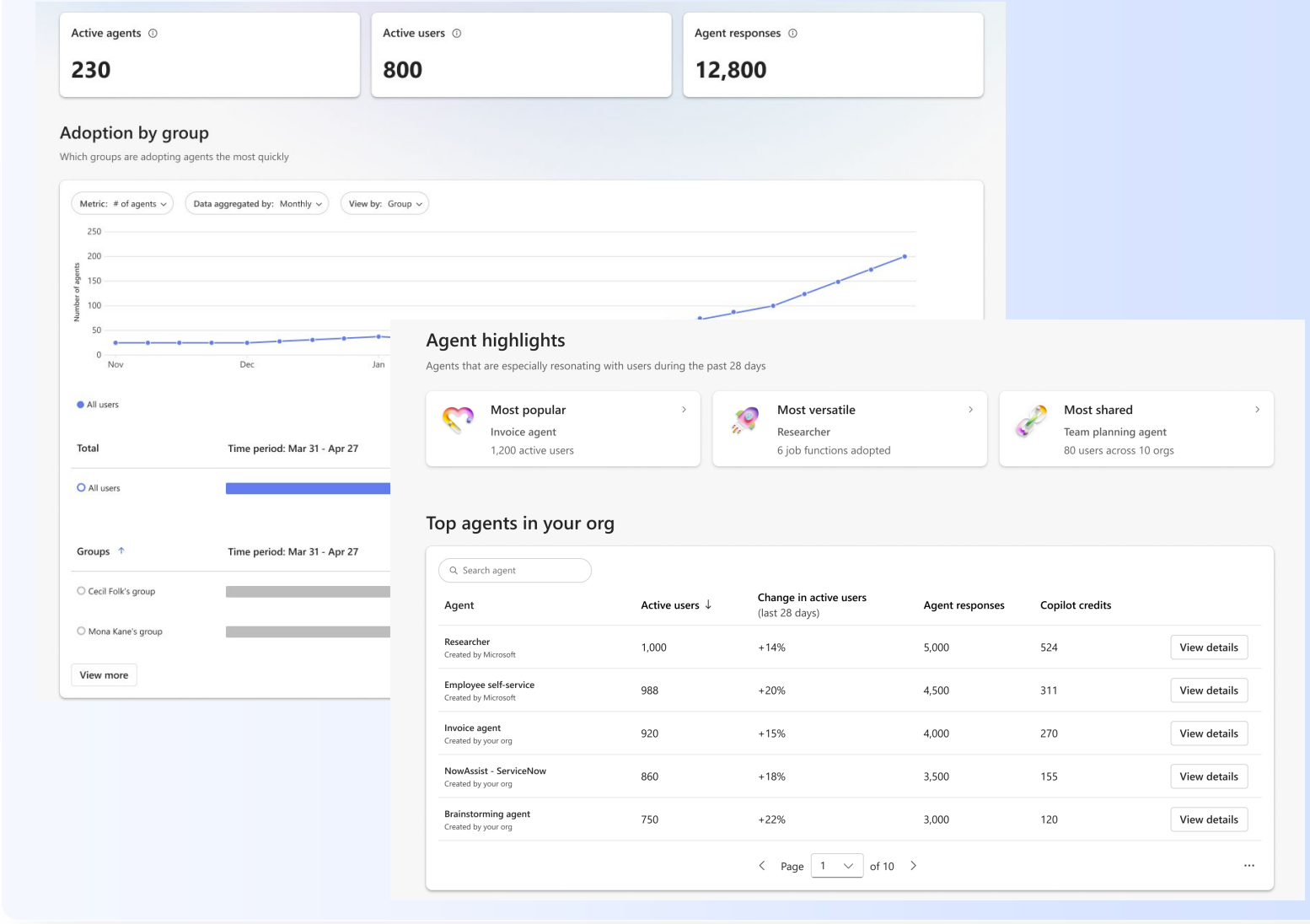
*Full coverage planned for end of CY2026

Product-specific licensing clarifications



Agent Dashboard is a premium feature

- **Current state:** Agent Dashboard from Viva Insights is currently in public preview and requires 50+ M365 Copilot licenses. Limited to agents that appear in Copilot.
- **End state:** Will support Agent 365 telemetry and continue to be a premium feature. Timing for General Availability to be announced.



Defender for agents will be delivered via PUPM licenses through A365

Before the new A365 PUPM license,

1) Foundry agents were protected with Defender for AI PAYG and DCSPM meters (free in public preview for customers).
2) Copilot Studio agents were protected with Microsoft Data Access (MDA) PUPM license (in public preview, licensing is subject to changes).

With A365, Defender licensing will be updated by workloads as below:

1) **OBO agents**: delivered via PUPM licenses through A365, regardless of the AI platforms

2) **Non-OBO agents**: remain in preview, no additional cost until GA with published licensing

3) **Non-agent workloads & AI infra:** Continues via DCSPM & Defender for AI Services (PAYG)

A365 Placemat



Agent 365 Placemat

A365 provides enterprises observability, security, and governance for AI agents

Value pillar	Product Surface	Feature	Included with Microsoft cloud subscription[1]	Agent 365 $15 pupm
Observability	Entra	Agent Identity[2]	•	•
	MAC	Agent Registry – Visibility into rich agent metadata, permissions and access, security and compliance[3]	•	•
		Basic usage insights for agents used in M365 Copilot (active users and response count) in MAC agent usage report	•	•
		Advanced agent usage insights for all agents across Agent Registry, Agent Overview page, and Agent card		•
		Agent Map - Visual representation of agent connections, usage, behavior, and relationships across the tenant		•
		Synchronize agents and agent metadata from external platforms that aren't managed by Agent 365 into the Agent 365 registry[4]		•
Security	Purview	Data Security Posture Management with AI Observability provides deep interaction visibility for Agents		•
		Extend Insider Risk Management to agents – detect anomalous and risky agent activities		•
		Agents inherit and honor data sensitivity labels[5]		•
		Data loss prevention: block agents from accessing and sharing sensitive content		•
	Entra	Conditional access[6] and identity protection[7] (for agents that work on behalf of users this capability extends user policies to agents)		•
	Defender[8]	Security Posture Management - Identify and remediate agent misconfigurations and exposure risks		•
		Threat Detection and Blocking - Detect suspicious agent activity, receive alerts and allow blocking for tool invocations		•
		Threat Hunting and Investigation[9] - Collect A365 unified agent observability logs and allows Investigation and hunting for threats in agents		•
Governance	Entra	Agent Identity Governance[11] - Access packages for agents to give them reduced scope of permissions in comparison to users		•
		Lifecycle management for agents: Built-in Entra lifecycle policies automate sponsor-driven workflows to maintain accountability		•
	MAC	Admin agent governance actions (publish, deploy, block, delete, approve, assign agents to specific user/groups, reassign agent owner, pin, etc.)	•	•
		Automate agent lifecycle actions using conditions-based rules		•
		Control which tools (including Microsoft MCP servers) agents can access tenant-wide		•
		Policy templates to apply consistent security and compliance controls to agents		•
	Purview	Audit logs of agent activities and eDiscovery (content search)[10] of agent interaction to export and hold for legal, regulatory and investigative needs	•	•
		Data Lifecyle Management for agent generated data and interactions in line with regulations and org policies		•
		Detect and review non-compliant agent interactions, extend compliance manager to agents to assess, manage, and demonstrate AI compliance		•

1. Included with M365 and Azure subscription
2. Agent ID is a feature of the Entra platform and is needed for policies, governance, and security protection including ATG configuration
3. Unified Agent Registry powers agent inventories in Defender, Purview
4. Expected Coming soon. Included in the existing A365 license. Refer to the Microsoft 365 public roadmap for the GA timeline
5. Requires license to ensure grounding data is labelled. Min. OE3 for M365 or PAYG 'Data at Rest' for supported non-M365 data
6. Dependent on user having Entra P1 or Microsoft 365 E3 to support conditional access for user's agents
7. Dependent on user having Entra P2, Microsoft 365 E5, or Entra Suite to support Identity Protection for user's agents
8. Defender features listed here are currently in public preview and will be included in the existing A365 license. Please refer to the Microsoft 365 public roadmap for the GA timeline.
9. Defender Threat Investigation and Hunting will require a user to be licensed for Microsoft Defender for Cloud Apps
10. Only content search is included with Microsoft Cloud subscription. Post discovery data export and hold is charged to the customer
11. Dependent on user having Entra P1 or Microsoft 365 E3

Agent 365

Appendix



Additional Resources

- Agent 365 Licensing FAQs

Licensing FAQs

Q: How does Agent 365 licensing work when customers purchase a fixed number of licenses?
A: It works the same way whether there is one license, or everyone has a license. A A365 license will cover the users agents working on behalf of user, using that user's context, permissions, and workflows.

Q: Do all users interacting with agents need to be licensed, even if they are not directly creating or managing them?
A: We recommend licensing all users of agents. If an OBO agent works on behalf of an unlicensed user, the activity is not entitled to A365 protections. This creates an out of compliance scenario.

Q: Why are Agent 365 features visible in partner or client tenants that have not enabled Frontier or purchased licenses?
A: Some Agent 365 features are included with M365 and Azure cloud subscriptions, including agent identity, agent registry, basic usage insights, admin agent governance, and agent audit logs / eDiscovery.

Q: Does enabling Frontier automatically grant temporary or trial access to Agent 365 capabilities?
A: Frontier is separate from Agent 365 and from the features included with MS cloud subscriptions.

Q: What does it technically mean to "enable" Agent 365 in a tenant from a licensing and entitlement standpoint?
A: The correct way to enable Agent 365 is to assign licenses to all users who use agents.

Q: Are there additional deployment or configuration steps required beyond activation for licensed use?
A: It depends on the controls that customers want to put in place. This includes templates and policies in MAC, as well as controls in Entra, Defender and Purview.

Q: How does licensing apply to multi vendor or externally developed agents integrated into Agent 365?
A: Licensing is per user rather than per agent. We recommend all agent users to be licensed. Users who use agents managed by Agent 365 must licensed.

Capabilities overview for ME5, Entra Suite, A365, and ME7

Product	Category	Core Capabilities	For Users		For OBO Agents A365	For Users + OBO Agents ME7	For others PAYG
			ME5	Entra Suite			
Entra	Identity + Access Management	Identity platform	for Users	for Users	for OBO Agents[1][2]	For Users + OBO Agents	N/A
		Conditional Access					
		Privileged Identity Management					
		ID Protection					
		ID Governance					
	Secure Service Edge (Network)	Private Access					
		Internet Access (Web + AI Gateway)					
Defender	Security Posture Mgmt.	Security Posture Management	For devices, identities, SaaS apps, and email[3]		for OBO Agents	For devices, identities, SaaS apps, email, and OBO agents	For cloud infrastructure and non-agent AI workloads
	Threat Protection	Threat Protection (Detection + Blocking + Hunting/Investigation)					
Purview	Data Security	Data Security Posture Management	for M365 data + M365 Copilot interactions + agent-to-human interactions of M365 agents[5]		for all agent interactions of all OBO agents[4]	For M365 data + M365 Copilot + OBO Agent interactions	For non-M365 data + non-agent AI interactions
		Information Protection					
		Data Loss Prevention					
		Insider Risk Management					
	Data Compliance	Audit & eDiscovery (premium)					
		Data Lifecycle Management					
		Communication Compliance					

[1] CA and ID protection for OBO agents is evaluated against a user's identity token, hence a user must be licensed with ME3 for CA and ME5 for IDP for these features to work for their OBO agents
[2] ID Gov for OBO governs the human→ agent delegation relationship, so w/o ID Gov for users, there is no relationship to govern. Hence a user must have ID. Gov standalone or Entra Suite (i.e. full ID Governance feature set)
[3] Security posture management and Workload protection for cloud infra / resources is not in ME5, but in the MDC PAYG SKUs
[4] Label honoring, label inheritance, and label-based DLP require grounding data to be labelled. Manual labelling of M365 data OE3+, auto-labelling of M365 data ME5, auto-labelling of non-M365 data Purview PAYG
[5] Agents built with Agent Builder, SharePoint Agent, and Copilot Studio agents published in M365

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